

JMIA pitch deck

PITCH — JMIA — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY at \$6.23. Reject the buy case at the current price; keep Jumia on an unarmed watch and re-run the court only when one of four reopen triggers fires (red bench kill-at-price sustained at 8/10; blue bench overturned the “never own this” posture, 7/10).

What we believe

Jumia (Jumia Technologies AG, the pan-African e-commerce marketplace, NYSE: JMIA) is a genuinely improving business at a price we cannot justify paying today. Orders grew 28% and quarterly active customers 23% on an adjusted basis in Q2 2026, gross profit improved on both measures the company reports (14.2% of merchandise volume vs 13.3% a year ago; 59% of revenue), and the quarterly loss shrank 36% year over year. On August 12 the company raised \$50 million at \$5.52 per ADS — half from the International Finance Corporation (a World Bank Group institution), half from Axian (already one of its largest shareholders) and other investors — leaving roughly \$96 million of pro-forma liquidity ([company 6-K, August 12, 2026](#) is the neighboring filing; the raise terms are in 6-K 0001756708-26-000025, quoted in our evidence pack).

But the same evidence cuts the other way. Management cut full-year merchandise-volume growth guidance from 27–32% to 20–30% — the damage is arriving now, not receding. Liquidity fell from \$77.8M to \$48.3M in six months, this is the second capital raise in twelve months, and on delivered cash consumption another raise before breakeven is the base case. Our conclusion: real operational progress, wrong price, and a resolvable set of unknowns that a later court can settle.

What the market believes

The stock closed at \$6.23 — down 58% from its 52-week high of \$14.72 and only 9.5% above its 52-week low of \$5.69, so the market is already treating this as a distressed, serially-dilutive name. Yet the stock rose about 7.7% on the Q2 report and raise announcement, meaning the marginal buyer read “IFC validation plus funded runway” as good news. The market price sits 12.9% above the \$5.52 placement price. This is a thinly covered stock; we should not assume the current price reflects careful analysis in either direction.

Why we might have edge

1. **We read the actual filings, not the headlines.** The unregistered nature of the new shares (sold under exemptions from registration, per the 6-K) means the raise closing in late August adds *no* selling pressure to the open market — a fact the original thesis got backwards and that casual readers will also get backwards, in both directions.

2. **We ran the cash-flow bridge nobody quotes.** Q2 operating cash outflow was \$11.8M including a \$3.0M working-capital swing; excluding working capital it was ~\$8.8M, nearly matching the \$8.7M adjusted-EBITDA loss. The scary-looking gap between liquidity burn and reported losses is mostly timing, not a structural hole — a nuance that separates us from both the bulls (who ignore burn) and the bears (who overstate it; our own red bench did exactly this).
3. **We identified the specific seasonal risk.** The full-year guide only works if Q4 repeats last year's strong sequential improvement — and Q4 is the electronics-heavy Black Friday quarter, while the company itself discloses that smartphone supply disruption from memory-chip price inflation “persists into the early third quarter” with no company-controlled end date. That linkage (guide rescue depends on the exact quarter the shortage impairs) appears nowhere in public commentary we've seen.
4. **We know what \$5.52 is and isn't.** It is a conventional ~5% discount to the pre-announcement price of ~\$5.81, negotiated with a development-finance buyer that also bought an ESG policy package. It is not an informed-investor verdict on fair value, in either direction.

Why it might be priced in

Symmetry requires saying this plainly: at 9.5% above the 52-week low, the market may already have done our work. The guidance cut is public. The dilution (~7.3%, verified from the 13G/A share count) is public. The second-raise-in-a-year pattern is visible to anyone. IFC's participation — whatever discount it came at — is a real signal that a diligence-capable institution with NDA access to the Q2 numbers committed \$25 million. Axian, the largest-shareholder class, added rather than sold. And the operational acceleration (orders, customers, gross profit) is real and disclosed; if Q4 supply normalizes, the current price could look cheap in hindsight. Our rejection is about the price *today* against unresolved risks, not a claim that the market is wrong to see improvement.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Guidance cut 27–32% → 20–30%	Fetches Q1 and Q2 press releases directly (Q2 release , Q1 release)	Cut confirmed in both primary documents	YES
Growth figures (orders/customers)	Q2 release, primary	+28% / +23% <i>adjusted</i> — the original thesis and pack used the raw +26% / +21%; corrected	YES (thesis numbers superseded)
“Cash burn runs 52% above the loss envelope” (red bench kill #1)	Blue bench re-read the same release red cited	Red bench erred: it used the liquidity decline (\$29.5M in H1) as burn. Actual Q2 operating cash outflow was \$11.8M incl. \$3.0M working capital; ex-working-capital ≈ the adjusted-EBITDA loss. Runway concern survives; the 52% headline does not	PARTIALLY — sizing concern stands, magnitude reduced
“\$5.52 predates the Q2 information set” (red bench kill #2)	6-K text + arithmetic	Red bench's reasoning erred: IFC signed the same day as the release with diligence access, so it likely held the Q2	CONCLUSION YES, REASONING CORRECTED

Claim	How checked	Found	Confirmed?
		numbers. The <i>conclusion</i> still holds — \$5.52 is a routine placement discount to a development-finance buyer, not a fair-value verdict	
“Raise closing pulls the stock toward \$5.52” (original thesis)	6-K primary text	Refuted: shares are unregistered, buyers are strategic multi-year holders; no open-market supply at closing. Registration rights are a future, undated overhang	YES (thesis claim dead)
“Full-year guide requires improvement to double” (original thesis)	Quarter-by-quarter decomposition	Refuted as framed: trend plus last year’s delivered Q4 seasonal step lands FY loss $\approx$ \$26.2M, inside guidance. But red bench then double-counted: it used that seasonal step to refute the crux while separately arguing the step is supply-impaired. Both can’t be load-bearing	PARTIALLY — guide tension is real but conditional
Q4 electronics-season supply risk	Q2 release, primary quote	“Supply volatility persists into the early third quarter 2026” — confirmed verbatim; the link from memory-chip prices to Jumia’s mix has no tool and stays plausible-not-proven	QUOTE YES, LINKAGE UNPROVEN
Gross margin 59% “is a secondary-source artifact” (red bench flag)	Blue bench recomputed from the release	Red bench erred: \$30.7M gross profit / \$52.0M revenue = 59.0%, derivable from the primary document. Just needs a basis label (% of revenue vs % of merchandise volume)	REFUTED (red’s flag withdrawn)
August 14 13G/A = post-results accumulation?	Fetches the filing from SEC EDGAR	Red bench process error: it named this its mind-change trigger and never opened the filing sitting in the pack. Blue did: Fund 1 Investments, 18,524,754 shares (7.48%) — event date June 30, a routine quarter-end amendment, NOT post-results buying	YES — trigger NOT satisfied
Share count / dilution	Derived from the 13G/A (18,524,754 / 7.48% → ~247.7M ordinary ≈ ~123.8M ADSs)	New issuance $\approx$ 7.3% dilution. Closes a gap both benches had carried as unverified	YES (convertibles/warrants still unchecked)
Live market price	IBKR contract search	Permission denied on both bench runs; we are working from the pack’s Yahoo close of \$6.23	NO — coverage gap

PROPOSED ENTRY BANDS

The courts say no entry at any price today. No buy order, no resting limit order. Specifically rejected: a standing order at \$5.52 — the benches showed the only realistic path to that fill is bad news (a Q3 miss, a naira/Egyptian-pound devaluation, the supply shortage extending), at which point \$5.52 would no longer be the right price. Buying there blindly means buying precisely when the thesis has gotten worse.

Reopen bands — any ONE of these reopens the court; none of them is itself a buy signal: 1. **Price at or below ~\$5.50**, *only if* we can establish the decline was not caused by thesis-worsening news (no Q3 miss, no currency devaluation, no shortage extension driving it). A general-market selloff dragging JMIA down qualifies; a Jumia-specific bad headline does not. 2. **A registration statement is filed** for the new shares (watch for F-1/F-3 or a 6-K announcing one). This converts the undated future-selling overhang into a dated, analyzable supply event. 3. **Q3 results show operating cash flow (excluding working capital) converging with the adjusted-EBITDA loss** — confirming the burn picture blue bench sketched and red bench named as its own mind-changer. 4. **A new 13G/13D shows accumulation above \$6 dated after August 12** — an informed buyer paying up post-results, which the August filing turned out not to be.

Sizing: 0% of book now and at any reopen until a fresh court passes. **Catalyst dates:** raise expected to close second half of August 2026 (no exact date disclosed; no market-supply effect expected). Next earnings ~November 11, 2026 — that date is derived from data-vendor patterns and is NOT company-confirmed; a company press release naming it is itself reopen-relevant.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.5 (deck-provisional: reopen court only if decline is not caused by thesis-worsening news (Q3 miss, FX devaluation, supply-s))
- filing watch: F-1,F-3,6-K until 2027-02-12 (deck-provisional: registration statement converts the undated unregistered-share overhang into a dated supply event)
- dated pack JMIA|2026-08-31: JMIA: \$50M raise expected to close (second half of August; verifies ~\$96M pro-forma liquidity) (date confirmed=False)
- dated pack JMIA|2026-11-11: JMIA: expected Q3 2026 results — vendor-derived date, not company-confirmed (date confirmed=False)

What remains unverified

- **Live brokerage price.** IBKR access was permission-denied on both bench runs; everything above keys off the pack's Yahoo close of \$6.23.
- **Capital structure below the share count.** Convertibles and warrants were never pulled from the equity note; the ~123.8M ADS count is derived from one holder's 13G/A percentage, not from an audited filing (the pack's XBRL section was empty).
- **FY2025 quarterly loss splits** — both benches used the original thesis's numbers without re-fetching the FY2025 release; the Q4 seasonal-step math inherits that risk.
- **Nigerian naira / Egyptian pound trajectory** — the single largest external driver of both reported results and the "bad-news fill" risk; no series was pulled.
- **Who owns and trades this stock now** (crowding/discovery) — the stock rose on the report; we don't know who the marginal buyer at \$6.23 is.

- **The memory-chip-price** → **Jumia-electronics-mix linkage** — the Q4 impairment argument rests on a company quote plus inference; no tool tests it directly.
- **The Q3 earnings date** — vendor-derived, unconfirmed by the company.

```
{
  "price_gates": [
    {
      "level": 5.50,
      "direction": "below",
      "basis": "reopen court only if decline is not caused by thesis-worsening news (Q3 miss, FX devaluation, supply-shortage extension)"
    }
  ],
  "event_gates": [
    {
      "forms": ["F-1", "F-3", "6-K"],
      "why": "registration statement converts the undated unregistered-share overhang into a dated supply event"
    },
    {
      "forms": ["SC 13G", "SC 13D"],
      "why": "accumulation dated after 2026-08-12 above $6 would satisfy the informed-buyer trigger the Aug-14 13G/A failed"
    }
  ],
  "catalyst_dates": [
    {
      "date": "2026-08-31",
      "what": "$50M raise expected to close (second half of August; verifies ~$96M pro-forma liquidity)",
      "confirmed": false
    },
    {
      "date": "2026-11-11",
      "what": "expected Q3 2026 results – vendor-derived date, not company-confirmed",
      "confirmed": false
    }
  ],
  "immediate_entry": null
}
```